

Gauri Shankar Gupta v. State of U.P. and Others

High Court of Judicature at Allahabad · Division Bench · 21 March 2018 · WRIT - C No. 58335 of 2010 · By final judgment dated 21.03.2018 the Division Bench dismissed the writ petition. The petitioner, an auction-purchaser of premises no. 117/M/290 from the Kanpur Development Authority, had been refused a new electricity connection (order dated 16.06.2010) because Rs.84,000 and Rs.1,08,000 - dues on two earlier connections at the same premises - were outstanding. Applying Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 (reproduced in full), the Court held that where outstanding dues subsist on a premises no new connection can be granted to a purchaser unless the dues are cleared, or a no-dues certificate is obtained from the old owner, or the transfer instrument stipulates the manner of clearing the dues. As none of these conditions was satisfied - the dues were admittedly outstanding, no clearance or no-dues certificate was shown, and the KDA transfer instrument contained no clause for clearance - the refusal was upheld and the petition dismissed as lacking merit. The interim protection granted on 04.10.2010 (that the temporary connection not be disconnected) accordingly stood dissolved.

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HEADNOTE

The petitioner, Gauri Shankar Gupta, purchased premises no. 117/M/290 from the Kanpur Development Authority (KDA) in an auction and applied for a new electricity connection, which respondent no. 4 rejected by order dated 16.06.2010 on the ground that Rs.84,000 and Rs.1,08,000 - dues on two earlier power connections (Nos. 25N4/010145 and 7177/010145) taken for the same premises by Ramdash son of Kallu and Ramdas son of Gokaran - were outstanding. The petitioner contended that, having bought at a KDA auction without knowledge of any pending dues, he could not be refused a connection. The Division Bench (Bala Krishna Narayana and Irshad Ali, JJ.), on final hearing, reproduced Clause 4.3(f)(i)-(viii) of the U.P. Electricity Supply Code, 2005 and held that where any electricity dues are outstanding on a premises no new power connection can be granted to a purchaser unless the outstanding dues are cleared, or a no-dues certificate is obtained by the purchaser from the old owner, or the deed/instrument of transfer contains a clause stipulating the manner of clearing the dues. On the facts, the two amounts were admittedly outstanding on the premises at the date of purchase, and there was no material that the dues had been cleared, that a no-dues certificate had been obtained, or that the KDA transfer instrument stipulated any manner of clearance; the auction-purchaser's want of knowledge was no answer. Finding no force in the petitioner's submissions and substance in the respondent's, the Court declined to interfere with the refusal and dismissed the petition as lacking merit.

FACTUAL SUMMARY

The petitioner, Gauri Shankar Gupta, purchased premises no. 117/M/290 from the Kanpur Development Authority (KDA) in an auction conducted by the KDA. He applied to respondent no. 4 for a new electricity connection for the premises, which was rejected by order dated 16.06.2010 (Annexure-9 to the writ petition) on the ground that two bills - Rs.84,000 and Rs.1,08,000 - pertaining to two power connections (Nos. 25N4/010145 and 7177/010145) earlier obtained by Ramdash son of Kallu and Ramdas son of Gokaran in respect of the same premises, were outstanding. The petitioner filed WRIT-C No. 58335 of 2010 seeking certiorari to quash that order, contending that he had bought the premises at a KDA auction without any knowledge of pending electricity dues, so the refusal was unjustified. During the pendency, by interim order dated 04.10.2010 (Vineet Saran and Abhinava Upadhyay, JJ.) the Court directed that the temporary connection granted to the petitioner not be disconnected and that he continue depositing charges at the current rate; counter and rejoinder affidavits were exchanged, the matter passing through several listing orders between 2010 and 2017. At the final hearing on 21.03.2018, with the parties' consent the petition was disposed of at the admission stage: the respondents (Nos. 2-4) contended that the refusal was in consonance with Clause 4.3(f) of the U.P. Electricity Supply Code, 2005, under which seller and purchaser are jointly and severally liable to find out and clear the outstanding dues (or obtain a no-dues certificate) before sale, and that neither had the dues been cleared, nor did the KDA deed stipulate the manner of clearance, nor had a no-dues certificate been obtained by the old owner.

REUSABLE CONSTRUCTIONS

1. Under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005, where any electricity dues are outstanding on a premises no new power connection can be granted to the purchaser unless (a) the outstanding dues are cleared, or (b) a no-dues certificate is obtained by the purchaser from the old owner, or (c) the deed of agreement or the

instrument under which the premises was transferred contains a clause stipulating the manner of clearing the outstanding dues. **order of 21.3.2018**

2. It is the joint and several duty of the seller and the purchaser under Clause 4.3(f)(i) to find out and pay the outstanding electricity dues up to the date of sale or to obtain a no-dues certificate; a purchaser who takes no such step cannot claim a new connection free of the premises' outstanding dues. **order of 21.3.2018**
3. A purchaser at a public or development-authority auction who had no knowledge of pending electricity dues is nonetheless bound by Clause 4.3(f) where the transfer instrument is silent on clearance of dues and no no-dues certificate was obtained; want of knowledge is no exemption from the clause. **order of 21.3.2018**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

RATIO

No new connection to a purchaser while dues subsist on the premises unless cleared / NDC obtained / transfer deed stipulates clearance

QUESTION

Can a purchaser of premises be refused a new electricity connection because the electricity dues of an earlier consumer remain outstanding on the premises, and on what conditions may such a connection be granted, under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005?

HOLDING

Yes, the refusal is justified. On even a superficial reading of Clause 4.3(f), where any dues are outstanding on a premises no new power connection can be granted to the purchaser unless the outstanding dues are cleared, or the purchaser obtains a no-dues certificate from the old owner, or the deed of agreement/instrument of transfer contains a clause stipulating the manner of clearing the dues. Clause 4.3(f) makes it the joint and several duty of seller and purchaser to ascertain and clear the dues (or obtain a no-dues certificate) before sale, treats outstanding dues as the first charge on the assets, and directs that the application be processed only on clearing of dues. Here Rs.84,000 and Rs.1,08,000 were admittedly outstanding on the premises at purchase, and none of the three conditions was met, so the refusal (order dated 16.06.2010) could not be interfered with and the petition was dismissed. **order of 21.3.2018**

EVIDENCE “It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.” **order of 21.3.2018**

EVIDENCE “in case there are any outstanding dues on a premise, no new power connection can be granted to the purchasers unless the outstanding dues are cleared or a no dues certificate is obtained by the purchasers from the old owner or there is any clause in the deed of agreement or a instrument under which the concerned premises was transferred stipulating the manner for clearing the outstanding dues” **order of 21.3.2018**

EVIDENCE “we do not find any reason to interfere with the impugned order.” **order of 21.3.2018**

FLAG Compilation of order-sheets (22.09.2010-21.03.2018) ending in the final judgment of 21.03.2018; neither the judgment nor the orders bear printed page numbers or paragraph numbers, so pins reference the order dates. Clause 4.3(f)(i)-(viii) is reproduced verbatim in the judgment.

HOLDING-UNIT · UP-2005::4.3(f)

RATIO

Auction purchaser without knowledge is not exempt from Clause 4.3(f) where the transfer instrument is silent and no NDC obtained

QUESTION

Does a purchaser's acquisition of the premises at an auction conducted by a development authority (the KDA), without knowledge of the pending electricity dues, exempt him from Clause 4.3(f) and entitle him to a new connection?

HOLDING

No. The petitioner's plea that he had bought the premises at a KDA auction without knowledge of the pending dues was found to have no force, while the respondent's reliance on Clause 4.3(f) had substance. There was no material that the outstanding dues had been cleared, or that the petitioner had obtained a no-dues certificate from the old owner, or that the instrument by which the KDA transferred the premises to him contained any clause providing the manner for clearance of the outstanding dues. In the absence of any of these, the auction-purchaser's want of knowledge was no answer to Clause 4.3(f), and the refusal of a new connection was upheld. **order of 21.3.2018**

EVIDENCE “the petitioner had purchased the premises in question from the Kanpur Development Authority in an auction conducted by the Kanpur Development Authority and he had no knowledge that any electricity dues were pending on the premises” order of 21.3.2018

EVIDENCE “There is no material on record indicating that either the outstanding dues have been cleared or the petitioner has obtained no dues certificate from the old owner or the instrument under which the premise in question was transferred by the Kanpur Development Authority to the petitioner contains any clause providing the manner for clearance of the outstanding dues.” order of 21.3.2018

EVIDENCE “we find that there is no force in the submissions of the learned counsel for the petitioner whereas the arguments advanced by the learned counsel for the respondent have substance” order of 21.3.2018

PRINCIPLE TAGS

no-new-connection-while-predecessor-dues-outstanding-clause-4.3f The purchaser was refused a new connection because Rs.84,000 and Rs.1,08,000 remained outstanding on the premises; the Court held that under Clause 4.3(f) no new connection can issue unless the dues are cleared, a no-dues certificate is obtained, or the transfer deed stipulates the manner of clearance. order of 21.3.2018

auction-purchaser-bound-by-clause-4.3f-want-of-knowledge-no-defence A KDA auction-purchaser's want of knowledge of the pending dues was held no exemption where the transfer instrument was silent on clearance and no no-dues certificate had been obtained. order of 21.3.2018

seller-and-purchaser-jointly-severally-liable-for-premises-dues Clause 4.3(f)(i) makes it the joint and several duty of seller and purchaser to find out and pay the outstanding dues up to the date of sale or obtain a no-dues certificate before sale. order of 21.3.2018

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE PETITIONER'S REMEDY TO RECOVER THE CLEARED DUES FROM THE DEFAULTING OLD OWNERS OR FROM THE KANPUR DEVELOPMENT AUTHORITY

The Court upheld the refusal and required clearance of the dues as a condition of a new connection, but did not address whether the purchaser could recover the amount from the defaulting old owners or from the KDA which had auctioned the premises; the point was not in issue. order of 21.3.2018

RELATED CASES — SEE ALSO

SCJ-005 — Amir Ahmad - an auction-purchaser on an 'as-is-where-is' basis under the SARFAESI Act is bound by Clause 4.3(f)(i) and (viii) to ascertain and clear outstanding dues, the closest parallel to the KDA auction-purchaser bound here.

SCJ-1077 — New connection withheld for predecessor's old dues - the same fact pattern of a purchaser refused a new connection for a prior consumer's dues, there relegated to the forum on disputed facts, here decided on merits as the dues were admitted.

SCJ-036 — Jitendra Kumar Gupta - 'outstanding dues' on a premises under Clause 4.3(f) include all electricity dues, informing the dues that had to be cleared before a new connection here.

SCJ-681 — Trinmurti Buildwell - contrast: where the auction sale certificate transfers the premises free from all encumbrances, the purchaser is not saddled with the predecessor's dues - the distinguishing feature absent here, the KDA instrument being silent.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Order dated 16.06.2010 of respondent no. 4 rejecting the petitioner's application for a new connection</i> Distribution licensee (respondent no. 4)	Rejected the petitioner's application for a new connection for premises no. 117/M/290 on the ground that Rs.84,000 and Rs.1,08,000, being dues on two earlier connections at the premises, were outstanding.	The impugned order; upheld as being in consonance with Clause 4.3(f) of the U.P. Electricity Supply Code, 2005, and not interfered with. order of 21.3.2018	Respondent	Affirmed

